GMS WEEKLY

Your Source for Recycling News

December 16th, 2022
Volume 245, Issue 1061
Week 50

Highlights:

- **Lackluster.**
- **Tonnage flow.**
- **Covid exit.**
- **Stocks plunge.**
- **Bleak end.**
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QUOTE of the WEEK

"Do not allow people to dim your shine because they are blinded. Tell them to put some sunglasses on."

– Lady Gaga

MARKET COMMENTARY

LIMBO!

Another lackluster week has descended across sub-continent markets, with India once again suffering steel reversals, a Bangladeshi market paralyzed by L/C restrictions, and a Pakistani market that is still confused whether to dip in to the buying of whatever unit comes available.

On the far end, Turkey continues its dead drift through the recycling stream as rumors surface about discussions with Aliaga Buyers regarding 2023 deliveries, in addition a degree of stability in its fundamentals noticed over the last couple of weeks.

Overall, tonnage flow has started to increase as well – particularly in the container sector, which has come off significantly since the impressive peaks seen over the last two years. Tankers too, continue to trade profitably whilst dry bulk markets (and Capes in particular) endure volatile weeks of fluctuations.

Meanwhile, China's relaxation of Covid restrictions is expected to bring some positivity back into the markets post New Year, as the world slowly gets back to normal after almost three years of varying degrees of Covid restrictions.

On the global front, stock markets have plunged this week off the back of announcements of further rate hikes, in order to try and ease some of the soaring global inflation, as recession fears in the EU, U.K., and the U.S. loom ever larger.

As such, for recycling markets, it is a slightly bleak and glum end to the year, with prices, economies, fundamentals, and sentiments showing no signs of stabilizing just yet, and thus, Sellers and Cash Buyers remain in a state of limbo when considering the sale of older assets.

For week 50 of 2022, GMS demo rankings / pricing for the week are as below.

Demo Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	Pakistan	Weak	520 / LDT	530 / LDT	540 / LDT
2	India	Weak	510 / LDT	520 / LDT	530 / LDT
3	Bangladesh	Weak	500 / LDT*	510 / LDT*	520 / LDT*
4	Turkey	Weak	240 / LDT	250 / LDT	260 / LDT

**Subject L/C approval*

BANGLADESH

BANKING WOES!

Side-lined.

Bangladesh remains side-lined for yet another week, with minimal activity to report while the Central bank refuses to issue fresh L/Cs for purchases of recycling units.

Marred by plate prices that remain unchanged at their weaker levels and a Taka that continues to wiggle around the BDT 104 mark against the U.S. Dollar, local Recyclers are simply unable to compete or even complete deliveries.

No loan.

As such, the industry focus has shifted towards a competing Pakistani and Indian market, who are now absorbing much of an increasing flow of tonnage for scrap.

Finally, despite talks of an IMF loan injecting some liquidity into the market, it is likely to be an extremely quiet end to 2022 in Chattogram, especially whilst these economic and banking woes endure without any sort of resolution.

NO MARKET SALES REPORTED

INDIA

OPPORTUNE TIME!

Focus falls.

Much of the recent focus of ship sales has fallen on Indian Buyers over these past few weeks, especially with Bangladesh out of the game thanks to their ongoing L/C restrictions and a Pakistani market that is still undecided and confused on whether or even how much to offer on the odd locally (less preferred) units.

Indian prices have fallen considerably since the peaks seen earlier this year above USD 700/LDT, so it could be deemed as a good time to dip back into the buying at these lower overall levels, especially as an increasing number of Owners and Cash Buyer get accustomed to the current prices.

Container sold.

On the sales front and following the fixture of a similar container SSL CHENNAI last week, another small LDT container was committed this week as the VENUS C (4,394 LDT) fetched a decent USD 525/LT LDT basis an 'as is' Singapore delivery with 150 Tons of bunkers included in the sale at no extra cost to Buyers.

Finally, despite several beachings this week, fundamentals remain unsteady as local steel prices have fallen by nearly USD 25/LDT and the Rupee continues to waver in the mid Rs. 82 against the U.S. Dollar, leaving India behind their Pakistani competitors for the first time in several months.

MARKET SALES REPORTED

VESSEL NAME	TYPE	LDT	REPORTED PRICE
VENUS C	Container	4,394	USD 525/LT LDT ('as is' Singapore with 150 Ts bunkers)

PAKISTAN

FINALLY POSITIVE!

Buyers enquire.

The Pakistani market has finally enjoyed its first positive week for some time, with several Buyers enquiring on available units.

The next step is to see a few deals performed smoothly, especially after some of the shocking renegotiations and non-performances witnessed from Gadani earlier in the year. End users need to try and bring some confidence back to Cash Buyers and Owners, in order for them to reroute towards Gadani shores once again.

Matter of time.

On the local fundamentals front, local steel plate prices jumped about USD 16/Ton as the currency continues to gradually weaken, nearly grazing past PKR 225 against the U.S. Dollar this week.

As such, it is surely only a matter of time before some deals are confirmed into Gadani, despite a plethora of container candidates that are looking likely to be sold into HKC only yards in India.

NO MARKET SALES REPORTED

TURKEY

END IN SIGHT?

After what has been nearly 2 quarters of no positive movement and fundamentals that have crashed early in the summer, there finally seems to be an end in sight as the markets start to adapt to the lower prices on show from Aliaga, on the back of news about prospective deliveries for a 2023 arrival.

2023 Arrivals?

That is certainly good news given that the Lira though abysmally weaker, is still hanging around the recent lows of TRY 18.6X against the U.S. Dollar, while import and local steel plate prices have been relatively stable for the last couple weeks.

As such, we can only hope for an increased participation from Aliaga come January (and beyond).

Increased participation.

NO MARKET SALES REPORTED

INTERESTING FACTS

- *Bananas glow blue under black lights. To the everyday eye under normal conditions, ripe bananas appear yellow due to organic pigments called carotenoids. When bananas ripen, chlorophyll begins to break down. This pigment is the element that makes bananas glow, or fluoresce, under UV lights and appear blue.*
- *Wimbledon tennis balls are kept at 68 degrees Fahrenheit. The temperature of a tennis ball affects how it bounces. At warmer temperatures, the gas molecules inside the ball expand, making the ball bounce higher. Lower temperatures cause the molecules to shrink and the ball to bounce lower. To make sure the best tennis balls are used, Wimbledon goes through more than 50,000 tennis balls each year.*
- *Adult cats are lactose intolerant. Like some humans, adult cats don't have enough of the lactase enzyme to digest lactose from milk, causing them to vomit, have diarrhea, or get gassy. Cats only have enough of that enzyme when they're born and during the early years of their lives.*
- *Albert Einstein's eyeballs are in New York City. They were given to Henry Abrams and preserved in a safety deposit box. Abrams was Einstein's eye doctor. He received the eyeballs from Thomas Harvey, the man who performed the autopsy on Einstein and illegally took the scientist's brain for himself.*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**BEACHING TIDES**
December 25 – Christmas	December 05 – December 13 December 2- December 29

BANGLADESH	
BANK HOLIDAYS	**BEACHING TIDES**
December 16 - Victory Day December 25 – Christmas December 31 – Bank Holiday	December 06 – December 09 December 23 – December 26

IMPORTANT BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
No holidays in December	December 25 – Quaid-e-Azam Day	**No holidays in December**

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ALANG - Port Position as of December 16, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
1	*Floating Dock V (Under Tow)*	*9,176*	*Floating Dock*	*Beached December 13*
2	*Lobster*	*3,136*	*Fishing Vessel*	*Beached December 14*
3	*Marshal Novikov*	*3,905*	*Fishing Vessel*	*Beached December 14*
4	*T-19 (Under Tow)*	*7,636*	*Rig*	*Beached December 13*
5	*Unter*	*3,918*	*Fishing Vessel*	*Beached December 15*
Total Tonnage		**27,770**		

CHATTOGRAM - Port Position as of December 16, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
1	**Ariana**	**15,672**	**Tanker**	**Arrived June 22**
2	Bosfor	780	Tanker	Arrived December 07
3	Funning 2	5,002	Bulk Carrier	Arrived December 10
4	**Gala**	**16,885**	**Tanker**	**Arrived February 28**
5	PK 27	1,104	LPG	Arrived December 14
6	**Winton T128**	**975**	**Bulk Carrier**	**Arrived June 23**
Total Tonnage		**40,417**		

GADANI - Port Position as of December 16, 2022

No.	VESSEL NAME	LDT	TYPE	STATUS
1	*Changi*	*9,824*	*Bulk Carrier*	*Beached December 11*
Total Tonnage		**9,824**		

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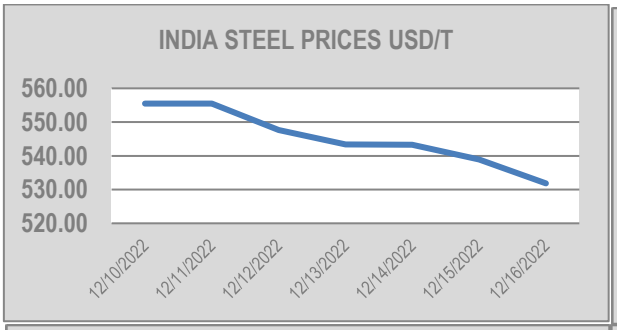
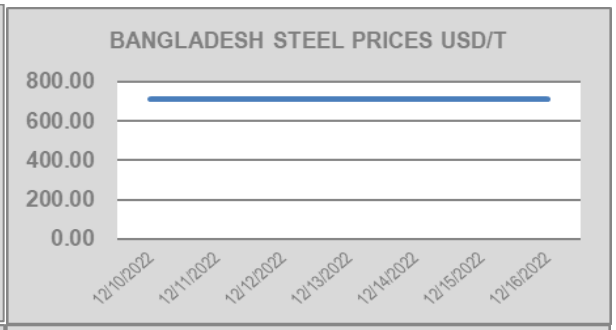
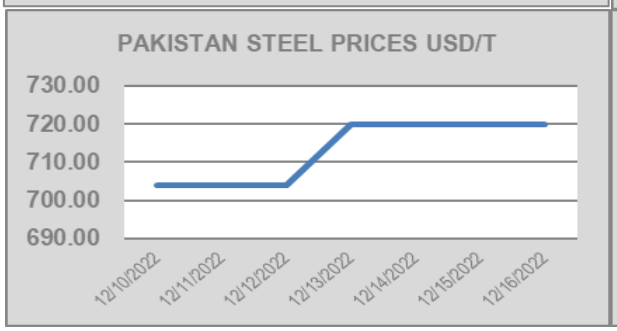
Steel Plate Prices

DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
12/10/2022	555.49	45,700.00	704.10	158,000.00	712.87	72,000.00	374.25
12/11/2022	555.49	45,700.00	704.10	158,000.00	712.87	72,000.00	374.25
12/12/2022	547.68	45,200.00	704.10	158,000.00	712.87	72,000.00	375.91
12/13/2022	543.41	45,000.00	720.00	162,000.00	712.87	72,000.00	379.23
12/14/2022	543.29	44,800.00	720.00	162,000.00	712.87	72,000.00	380.38
12/15/2022	538.91	44,600.00	720.00	162,000.00	712.87	72,000.00	382.88
12/16/2022	531.84	44,100.00	720.00	162,000.00	712.87	72,000.00	381.85







www.gmsinc.net
GMS_Leadership
GMS, Inc.
snp@gmsinc.net

Athens, Greece Tel: +30.210.899.0669
Cumberland, USA Tel: +1.301.759.9240
Hamburg, Germany Tel: +49.40. 3197.9963
Shanghai, China Tel: +86.216.075.1900
Singapore Tel: +65.6823.8037
Bhavnagar, India Tel: +91.278.300.5253
Dubai, UAE Tel: +971.4.423.0720
New York, USA: +1.240.505.9716
Seoul, South Korea Tel: +82.10.4650.0720
Tokyo, Japan Tel: +81.3.5453.6311